Executives
Armando Giner -
Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board
Guillermo Jorge Quiroz Abed - Chief Administration & Financial Officer and Member of Advisory Board

Analysts
Alan Alanis - Research Analyst
Dorothy Craig -
José Juan Yordán - Research Analyst
Luis Miranda Valenzuela - Head of Food and Beverage
Miguel Mayorga -
Roy Andrew Yackulic - Director and Corporate Credit Research Analyst

Presentation

Operator
Good morning, everyone, and welcome to Grupo Bimbo's Second Quarter 2011 Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com.

Before we begin, I would like to remind you that this call is being recorded and that information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks, uncertainties and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chief Financial Officer of Grupo Bimbo. Please go ahead, sir

Daniel Javier Servitje Montull
Thank you very much, and good morning, everyone. And thank you for joining us again. As usual, I will begin with a review of developments and performance in the quarter, and then we will be happy to take any questions you may have at the end.

Overall performance this quarter was in line with our expectations. The benefits of pricing have begun to filter through across the board, and volumes continue to trend positively in most markets. Clearly, the raw materials environment was very challenging. The basis of comparison was tough, with the increasing commodity cost for a weighted basket of our key inputs at around 20% up, and 30% for wheat flour alone.

We were able to recover some of that on the operational line with tight control of administrative expenses and certain efficiencies in Mexico. But internationally, we are committed to our long-term growth strategy, which requires investment in distribution, market expansion and penetration efforts. And clearly, we are seeing the benefit of those efforts on the topline.

Let's take a look at regional performance, starting with Mexico. Net sales were up a healthy 9% from the year-ago period, while the integration of Dulces Vero helped somewhat. Ongoing recovery in this market generated solid organic growth of about 7%.

From a profitability perspective, higher commodity costs, particularly in comparison to the low levels experienced in Q2 of last year, led to a 3.6 percentage point decline in the gross margin. As I mentioned, we were able to offset a good portion of that at the operating level, and margin contraction was limited to 2 percentage points.

Moving on to the United States, we were able to generate 2% growth in dollar terms in the baking division due to higher average product prices. But the consumption environment is still soft as evidenced by volume performance.

I want to point out that our overall market share has remained stable, and there are some bright spots like the double-digit volume growth in Bimbo bread and the Bimbo Marinela sweet baked goods.

Commodity costs were an issue in the U.S. as they were elsewhere. But we were able to offset those through pricing initiatives. At the operating level, for few costs alone rose almost 50% on top of our ongoing market penetration investment. We saw a slight erosion of 20 basis points in the margin. I should note that our margins are on par with where they were at the year-ago period, both for the quarter and 6 months, but within a vastly different inflationary environment.

I also want to mention that the new plant in Topeka, Kansas went live last month, on time and on budget and is distributing bread and buns in the central region of the country. In terms of the Sara Lee acquisition, we're expected to close this quarter. Obviously, this is somewhat later than our initial forecast, but we're confident that we will be able to start with our integration plan soon.

We have a team working through this complex process, and we'll update you as we can. The real work of the acquisition begins on day one. We have an integration plan ready to go, one that will put us on the journey to upgrading a new BBU.

Looking next at Latin America, volume growth across the region, and pricing improvements helped drive sales up a strong 20% for the quarter. We added about 6,000 new clients in the period as part of our ongoing market expansion and penetration efforts.

This investment in distribution combined with higher raw material cost that represented more than 1/3 of the margin contraction, as well as the increasing labor cost, led to a regional operating loss in the period, although there were specific places where performance was stronger. Chile and Uruguay, for example.

I want to be clear that our long-term view is bullish on Latin America. The fundamentals are all there. But in large markets like Brazil, it has taken time to achieve scale and density for the new manufacturing assets and distribution routes we're investing in.

I should reiterate that our outlook and expectations for the group as a whole are unchanged for the back half of the year. Volumes should continue to grow, raw materials pressures will remain, although the comparables will be easier than in the first half, and we will continue to invest in market growth and penetration. At the consolidated level, we're maintaining our projection of flat margins year-over-year.

That concludes my remarks this morning, so I will now hand the call back over to the operator.

Question and Answer

Operator
[Operator Instructions] Your first question comes from the line of Alan Alanis of JPMorgan.

Alan Alanis
My question has to do with the United States. Could you give us a little bit more color? You're saying your market share was stable there. However, we saw all of your growth came from pricing. Could you give us some color regarding how much the volumes declined there, which means how much is the industry declining overall here in the United States? And I have a couple of other questions, but let's start with that one just quickly.

Daniel Javier Servitje Montull
Yes, Alan, good morning. We'll let me tell you that the market at the end is comprised of many categories. We don't see a falling market share in some of the categories, mainly in what we refer to as mainstream bread. But in other categories, we did experience growth and market share growth. Overall, our volume went down 5%, and we're seeing it gradually come back a bit. But it's still in its infancy, this comeback. The pricing was affected, obviously because of commodity price increases. And we're now feeling that the pricing actions were the right ones, and we expect that in that sense, that the environment will be more stable in the remainder of the year

Alan Alanis
Well, I hear you. That's useful. In terms of the hedging that you have for your commodity costs, how should we think about it going forward? I mean, you've already taken prices, you're protecting your margins. However, there used to be a lot of volatility in most of the main raw materials. Could you give us an update or just remind us what hedging policy you used for your key raw materials, Daniel?

Daniel Javier Servitje Montull
Yes. Well, we don't have a fixed hedging time period. But on average, we're now around 6 months on most of the commodities. In some cases less, and in some others, a bit more.

Alan Alanis
Got it, okay. And one last question regarding Sara Lee. Did the delay in the closing of the transaction imply that you will have to divest more assets than that you originally invest -- anticipated, because of antitrust? Or that's not the right way of thinking about the delay?

Daniel Javier Servitje Montull
Well, the process we mentioned, it's quite a complex one. It has taken, yes, more time than we have thought that it was going to take. But I cannot say anything more at the time, as there are -- as we conclude this process, I'm sure that we'll give more color on what's going to be the outcome of it.

Operator
Your next question comes from the line of Miguel Mayorga of BBM.

Miguel Mayorga
I was wondering if you could give us more color about what we should be expecting regarding profitability mainly in Mexico for the second half of the year, as the price increases that were allowed in the first quarter does not seem to be offsetting higher grain prices? Should we continue witnessing more income contraction as we have seen during the past quarter?

Daniel Javier Servitje Montull
Yes. Well, the first investment was one in which we had to face the impact of the cost, and we had to also transfer this impact to the pricing of our products. And we, in some cases, were not able to transfer it at the same time, or we had impact in volume as we mentioned previously. We have a brighter outlook for the remainder of the year, although as we noted, we also are seeing that overall margins will be at the same level as we had, or a little bit lower than we had than last year. So it's not going to be a year in which we see the full recovery of our pricing actions. But certainly, we expect that the worst is over.

Operator
Your next question comes from the line of Roy Yackulic of Bank of America.

Roy Andrew Yackulic
Do you expect any significant outflow out of the cash balance that might affect net leverage in the next couple of quarters? Is there any use of funds that the cash is going to be allocated to significantly?

Guillermo Jorge Quiroz Abed
This is Guillermo Quiroz. No, of course we have to pay the price of salary. About half of the price is already in our cash balance. So we will go for about $400 million more coming from our committed lines of credit. And also, the own generation for the second half of the year is very strong, so we shouldn't be expecting more than 2 or 3, or 20 or 30 basis points at this time when we pay for Sara Lee.

Roy Andrew Yackulic
So is there going to be a remaining payment out of cash for Sara Lee? And where should you end cash for the year?

Guillermo Jorge Quiroz Abed
I don't have that, but we will be taking about $500 million from our upward cash. And we will be taking about $400 million more from our lines of credit. So we will be adding, at the time of the acquisition, about $400 million, but that will be reduced significantly during the rest of the year.

Operator
[Operator Instructions] Our next question comes from the line of Dorothy Craig of Neuberger Berman.

Dorothy Craig
You had mentioned that your basket of commodity cost is up 20% on average. Can you give any more clarity on kind of the pricing you've taken so far and if you have any plans for further pricing actions in the back half of the year?

Daniel Javier Servitje Montull
Yes, Dorothy. The effect of the FX rate changes the impact in the different countries that we operate in. In the U.S., the impact was higher than in most of the other markets as the dollar depreciated against other

currencies. So I will say that yes, the impact was higher in the United States and probably around 10% price increases in other markets such as Mexico. Our pricing increases went around 6%, probably more on a compounded basis.

Dorothy Craig
Okay, and any plans to take additional pricing in the back half of the year?

Daniel Javier Servitje Montull
We are not -- obviously, we follow the market region by region, and pricing actions might occur not -- I mean, on a regional basis or a country basis, in some instances. But we don't foresee any general increases in the remainder of the year, beyond what we have seen. But specifically, there might be some on a regional basis.

Dorothy Craig
Okay, can you talk a little bit to just on the pricing environment from competitors? Do you feel like it's been rational? Or certain competitors in certain markets are getting more aggressive?

Daniel Javier Servitje Montull
No. Well, I really -- I'm not in -- I don't usually talk about competitors' behavior. And in this sense, we don't know what implications do they have to react to this cost. But I will say that the market, overall, probably lagging in some cases. But the market, overall, is moving in the direction -- and that as commodity cost increases, they do raise prices. But not necessarily all are in the same time or in the same percentage.

Operator
The next question comes from the line of Luis Miranda of Santander.

Luis Miranda Valenzuela
Just a question regarding Latin, and especially Daniel, if you could give us some color on what could we expect in the second half of the year, considering the higher cost of labor and the strong marketing increase in distribution you're executing over there? If we could [indiscernible] stable margins or even some improvement in the second half of the year?

Daniel Javier Servitje Montull
Yes, the Latin American market is comprised of around, what, 15 countries. So what's happening in that basket it's quiet different in some countries than in others. We're facing a lot of investment and cost pressures in Brazil, mainly as we expand in other regions of the country. We opened a plant in Minas Gerais last year, and we will have a new plant in the coming months also in the Brasilia region. So we are expanding there, and that entails a lot of initial cost. Nevertheless -- and we also opened a new line in São Paulo this quarter. So there's a lot of organic investments in manufacturing and distribution in that country. As they mature, we will see a change in results. And now that's our expectation for this quarter, although for this semester -- although we'll still be seeing a lot of additional cost in that country. In other markets, we are having more success. Still, Argentina is challenging due to price increase -- limited price increases, so price controls and on the other hand, increases in raw materials and labor costs. So those are probably the 2 most challenging countries that we're working on. So on the other hand, we had an extraordinary item in Brazil in the last quarter. So we don't expect that extraordinary loss happening again. I don't know if I gave you a color of it or it was a little bit confusing.

Luis Miranda Valenzuela
No, no, no. It was clear, Daniel.

Operator
Your next question comes from the line of José Yordán of Deutsche Bank.

José Juan Yordán
My question -- I mean, I can understand what you're saying about the worst being over in terms of margin decline, et cetera. But you also mentioned that the U.S. -- that Latin American and Mexican operations benefited from the FX, and that the U.S. took the worst of the margin impact on raw materials. However, the U.S. was the one region where margins, where gross margin went up instead of down 300 basis points, et cetera. So it doesn't really compute here how the real reason for the Mexican and OLA margin declines. I'm thinking maybe you can give us some more color on what -- maybe the hedges were at levels that were very high, and those are going to begin to subside a little bit in the second half because, I guess, the last part of my question is just can you clarify the guidance that you gave on flat margins? Is it for the second half only? Is it for the U.S. only or for the full year, full company? Because that -- well, I guess both of those are pretty hard to see at this point, to see flat margins even in the second half of the year, let alone for the full year.

Armando Giner
José, this is Armando. We have to consider 2 things in your -- the first part of your question is -- at the end, we have quite the same pressure on raw materials, as Daniel said, with essentially Mexico. And I think I know where we have some benefit from the FX. But in the U.S., we increased prices more than we did in Mexico and Latin America. And that's why you saw that expansion on margin is starting in the gross margin. Then in Mexico and Latin -- in Latin America mainly, it's in the verging side is where we're seeing all the effect or the investments in distribution and production. So therefore, in Latin America is where we have the most important negative effect in terms of margin in operating margins.

José Juan Yordán
Well, I was talking about gross margin too in OLA anyway. I mean, down 280 basis points.

Armando Giner
Yes, because as I mentioned, we didn't have enough price increases in order to offset as the U.S. operation did. And that's okay. It's not that all the operation have the same levels. They have -- they do or they make their independent and efficient on the levels and all that. The thing that they have to comply with is the tenure of the hedges, which are, as Daniel mentioned, 6 to 8 months in general. And the thing that Daniel mentioned about the margin, margin stables for this year, it's for the full year. Not for the second half. And in order to comply with that, we will see some expansion in margins for the second half of this year.

José Juan Yordán
And that's going to come from the Mexican and OLA operations, catching up in terms of pricing? Or from better hedge costs, or…

Armando Giner
It will come when we -- It will start to come when we start to see the full affect of the price increases in Mexico. We will -- It will come from the U.S., continuing seeing the improvements, and from all that will

come, as Daniel mentioned, mainly given that we are not going to have in the full quarter the external affect that we have in last year in Brazil.

Operator
[Operator Instructions] At this time, I'm showing no further questions. I will now turn the floor back to Mr. Daniel Servitje for any closing remarks.

Daniel Javier Servitje Montull
Well, thank you all for your time and interest today. And please do not hesitate to contact us with any further comments or questions you may have. And we look forward to speaking with you soon.

Operator
Thank you. This concludes today's conference call. You may now disconnect.

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